How Inflation Affects the Middle Class in India

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1. Introduction

Inflation refers to a general rise in the prices of goods and services over time. It is commonly measured using the Consumer Price Index (CPI). When prices increase, the purchasing power of money decreases, meaning the same amount of money can buy fewer goods and services.

CPI and the Wholesale Price Index (WPI) are two key measures of inflation. CPI tracks changes in prices paid by consumers for goods and services such as food, housing, and transportation. WPI, in contrast, measures price changes at the wholesale level, focusing mainly on bulk goods and raw materials. While CPI reflects inflation from the consumer's perspective, WPI captures price movements from the producer's side.

Inflation can also be categorized into demand-pull and cost-push inflation. Demand-pull inflation occurs when overall demand in the economy exceeds supply, leading to higher prices. Cost-push inflation occurs when production costs, such as wages or raw materials, increase, causing businesses to raise prices.

In short, demand-pull inflation is driven by rising demand, while cost-push inflation is driven by rising costs.

2. Real and Nominal Income

Nominal income refers to the amount of money a person earns in current prices, without adjusting for inflation. It includes income such as salary, wages, or profits. For example, if a person earns ₹30,000 per month, that amount represents their nominal income. However, nominal income does not reflect the real value of money because it does not consider changes in the price level.

Real income, in contrast, represents the purchasing power of that income after adjusting for inflation. It shows how many goods and services a person can actually afford. Even if nominal income increases, real income may fall if prices rise faster than income, reducing the ability to maintain the same standard of living.

The distinction between nominal and real income becomes especially important during inflation. As prices rise, the value of money declines, which can reduce real income unless wages increase at the same rate. For this reason, real income is considered a better indicator of actual economic well-being and living standards.

3. Purchasing Power

Purchasing power refers to the amount of goods and services that can be bought with a unit of money. In simple terms, it shows the real value of money based on what it can actually purchase. When purchasing power is high, money can buy more goods and services; when it is low, the same amount of money buys fewer items.

Purchasing power is closely linked to inflation. As the general price level rises, the value of money falls, reducing what people can afford. For example, if the prices of essential goods such as food, fuel, and housing increase while income remains unchanged, households will be able to buy fewer goods and services than before.

For this reason, purchasing power is an important concept in economics, as it reflects the real value of money and helps explain how inflation affects living standards and overall economic well-being.

4. Understanding the Structure and Stability of Middle Class Households

Middle-class families are generally defined as households with a moderate level of income, positioned between lower-income and upper-income groups. They usually have stable sources of income such as salaried jobs, small businesses, or skilled professions, which allow them to maintain a reasonable standard of living. These families can typically afford basic needs like food, housing, education, and healthcare, along with some level of comfort, but they do not have the financial security of wealthier groups. As a result, budgeting and long-term financial planning are important in their daily lives.

Middle-class households form a large part of the population and play a key role in the economy. They contribute significantly to consumption, workforce productivity, and human capital through education and skill development. Their spending is often focused on essential needs, children's education, healthcare, and saving for future goals such as home ownership, retirement, or emergencies. Since their financial resources are limited, careful money management becomes necessary.

Inflation has a direct impact on middle-class families because income growth often does not match rising prices. As the cost of living increases, purchasing power falls, forcing households to adjust their spending. They may cut non-essential expenses, delay major purchases, or reduce savings to manage daily costs. Without large financial reserves, prolonged inflation can create financial pressure and uncertainty.

Overall, middle-class families are an important part of economic stability and growth. However, maintaining financial balance becomes difficult during periods of rising prices. Their financial behaviour usually reflects cautious spending, planning for the future, and efforts to maintain a stable standard of living.

5. Defining the Urban Middle Class (₹5–30 Lakh Annual Income)

The urban middle class refers to households with an annual income between ₹5 lakh and ₹30 lakh, mainly living in Tier 1 and Tier 2 cities. These households usually depend on salaried jobs, professional work, or small businesses, and have regular financial responsibilities such as rent or home loan EMIs, education expenses, transportation costs, and consistent savings.

This group plays an important role in the economy. Compared to lower-income households, they have some financial stability and access to banking and investment options. However, unlike higher-income groups, their financial cushion is limited, which makes them more sensitive to long periods of inflation. Their income must be carefully divided between daily expenses, savings for the future, and opportunities to improve their standard of living, which makes inflation an important factor in their financial lives.

Occupation type is an important factor in understanding a household's financial stability. Families with salaried jobs usually receive a fixed monthly income, which makes their earnings predictable

but can also make it harder to adjust when prices rise. On the other hand, self-employed households may experience income that changes depending on business conditions. Some families also have mixed sources of income, which can provide slightly more financial flexibility. Looking at occupation types helps explain how different households respond to rising living costs.

Many urban middle-class households have ongoing loan commitments, especially home or vehicle EMIs. These fixed monthly payments reduce financial flexibility, particularly when interest rates rise. During periods of inflation, higher interest rates can increase EMI burdens, placing additional pressure on household budgets. Households with large loan obligations are often more vulnerable to rising living costs.

The presence of school-age children significantly affects household expenses. Education costs, including tuition fees, coaching, books, and extracurricular activities, form a major part of middle-class spending. Rising education expenses can increase financial strain, especially during inflation. Families with children may prioritize education spending over other expenses, even if it reduces savings.

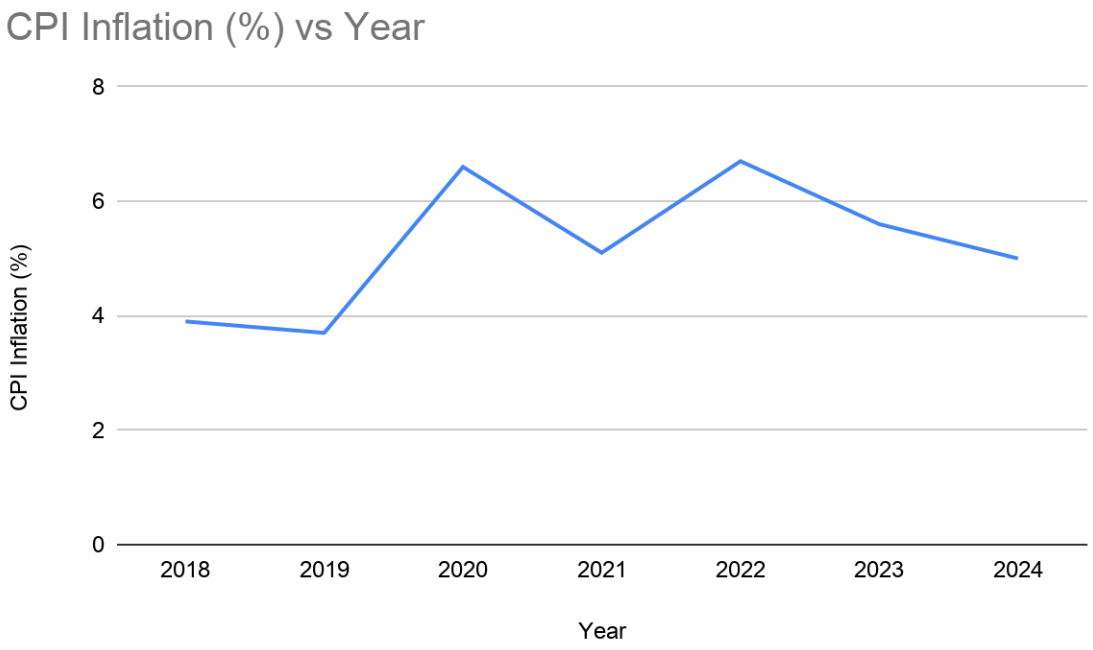


Figure 1. CPI inflation in India, 2018–2024 (annual %)

Source: World Bank Group

The graph shows the trend of CPI inflation in India between 2018 and 2024. Inflation remained relatively moderate in 2018 and 2019, but it increased sharply in 2020. Although it declined slightly in 2021, inflation rose again in 2022 before gradually falling in 2023 and 2024. These fluctuations show how price levels changed over time, which directly affects the purchasing power and spending patterns of middle-class households.

6. Spending Changes

6.1 Grocery Spending Increase

Food and grocery expenses make up a large part of monthly household spending. Data from 2018 to 2024 shows that food inflation in India changed quite a lot during this period. Inflation was relatively low in 2018, but it started increasing in 2019 and became much higher during parts of 2020. Although it slowed down slightly in 2021, food inflation rose again in 2022 and remained unstable in 2023 and 2024, with several months recording inflation rates above 8–10%. This shows how food prices can change significantly over time and directly affect household budgets.

The data suggests that grocery spending has not increased due to lifestyle changes alone, but largely because of persistent price growth in essential food items. This makes food inflation one of the most visible and immediate effects of rising prices on middle-class families.

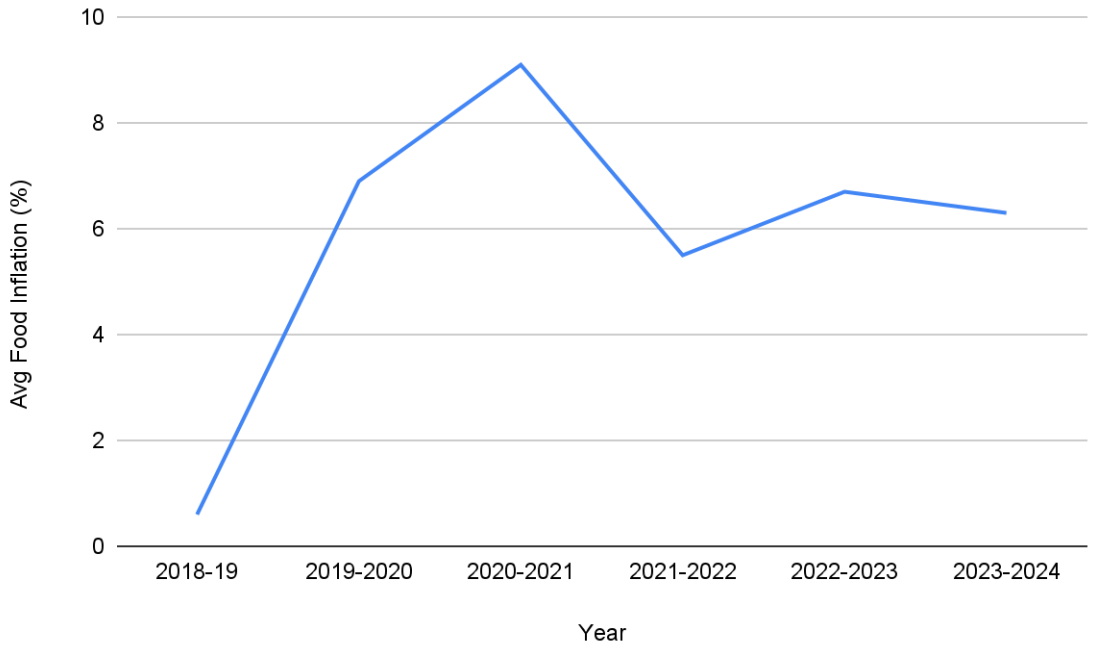


Figure 2. Average food inflation in India, 2018–19 to 2023–24 (%)

Source: RBI

The graph shows the trend of average food inflation in India from 2018–19 to 2023–24. Food inflation was very low in 2018–19 but increased sharply in 2019–20 and reached its peak in 2020–21. After that, inflation declined in 2021–22 but rose again slightly in the following years. These changes show how food prices have fluctuated over time, which can directly affect household budgets since food is one of the most essential expenses for middle-class families.

6.2 Rent or EMI Increase

Housing expenses form one of the largest financial commitments for urban middle-class households. These costs typically include monthly rent payments or housing loan EMIs, along with maintenance and utility expenses. Changes in housing prices therefore have a direct impact on household budgets.

According to Consumer Price Index (CPI) data released by the Ministry of Statistics and Programme Implementation, housing inflation shows changes in costs such as rent, housing maintenance, and other related services. When these costs increase, households may have to spend more of their income on housing.

As housing costs rise, a larger share of household income may go toward rent or EMI payments. This can reduce the amount of money available for savings and other non-essential spending, especially for urban middle-class families.

According to CPI data released by the Ministry of Statistics and Programme Implementation, **housing inflation in January 2026 was about 2.05% year-on-year**.

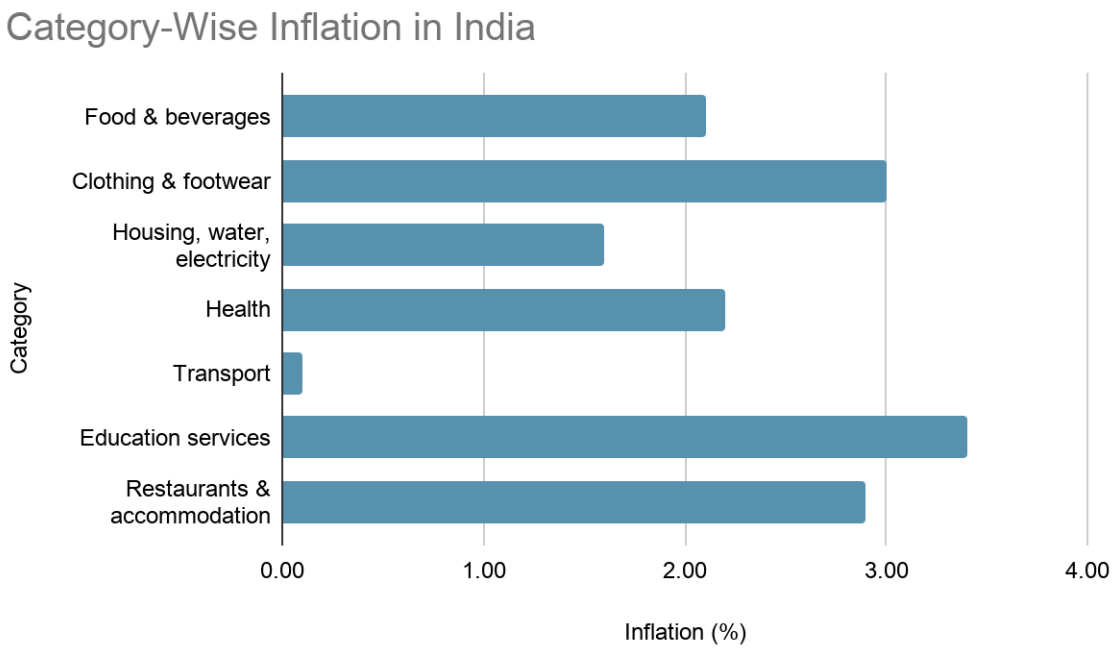


Figure 3. Inflation by spending category (CPI, year-on-year %)
Source: MoSPI

The graph shows inflation rates across different spending categories. Education services recorded the highest inflation, followed by clothing and restaurants. Food, health, and housing also show noticeable inflation, while transport experienced very low inflation. This indicates that some essential categories are becoming more expensive faster than others, which can affect how middle-class households allocate their spending.

6.3 Education Expenses Increase

Education is an important expense for many middle-class families, especially for those with children in school or college. Over time, the cost of education has increased due to higher tuition fees, coaching classes, books, and other academic expenses. Since education is seen as an investment in a child's future, many families continue to prioritize it even when overall living costs rise.

Data based on the Consumer Price Index (CPI-Combined) shows that education inflation has remained relatively high in recent years. Education inflation was around **5.8% in 2018** and

increased slightly to **6.1% in 2019**, mainly due to rising school and university fees. During the pandemic, inflation fluctuated but remained noticeable, with rates of about **5.2% in 2020** and **4.1% in 2021**, partly because of shifts to online learning and temporary fee adjustments.

After the pandemic, education inflation increased again to around **5.0% in 2022** and **5.5% in 2023**, driven by higher coaching fees, tuition costs, and the rising cost of educational materials. In **2024**, education inflation remained relatively stable at around **4.5–5.0%**, while recent estimates for **2025 suggest rates between 3.5% and 4.4%**.

Overall, the data suggests that education costs have remained consistently high compared to many other household expenses. For middle-class families, especially those with multiple children, rising education costs can place additional pressure on household budgets and reduce the amount of income available for savings or other spending.

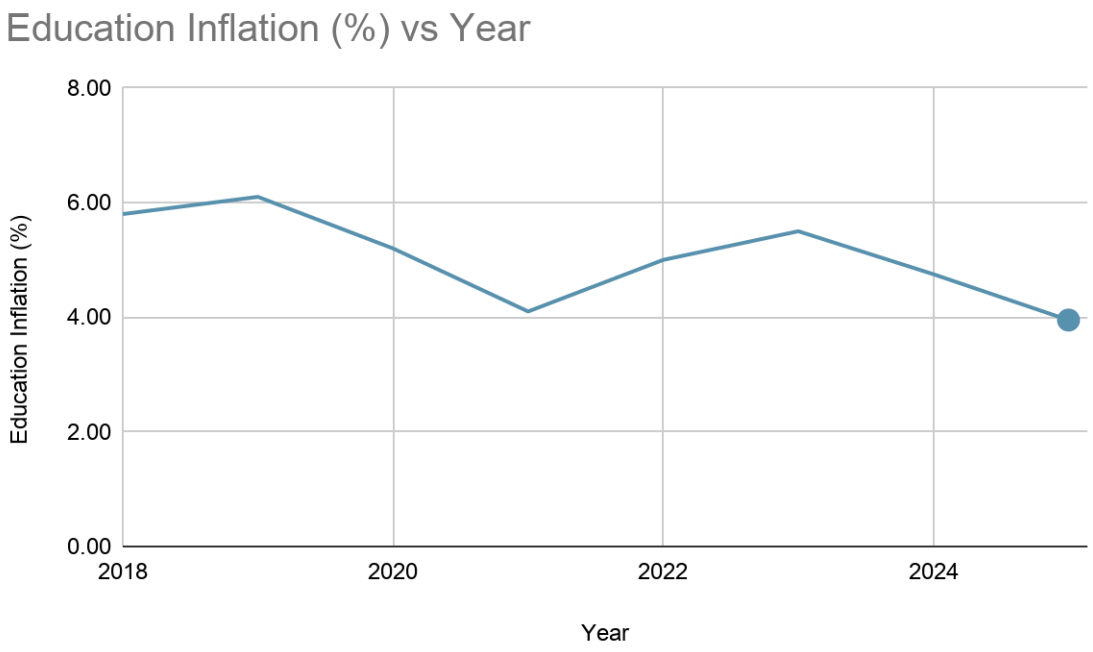


Figure 4. Education inflation in India, 2018–2025 (%)

Source: Ministry of Statistics and Programme Implementation (MoSPI), Consumer Price Index (CPI)

The graph shows the trend of education inflation in India between 2018 and 2025. Inflation was relatively high before the pandemic, declined around 2020–2021, and increased again in the following years before moderating slightly. This trend highlights how education costs continue to rise over time, affecting household spending.

7. Savings and Investment Behaviour

7.1 Shift from Fixed Deposits to SIPs / Equities

In recent years, the investment behaviour of many Indian households has started to change. Traditionally, middle-class families preferred safer options such as fixed deposits and recurring deposits offered by banks. However, as financial awareness has increased and people look for

better returns, many households have started investing part of their savings in market-linked options such as mutual funds.

Systematic Investment Plans (SIPs) have become one of the most popular ways to invest in mutual funds. SIPs allow individuals to invest a fixed amount regularly, usually every month, which helps encourage disciplined investing. According to data from the Association of Mutual Funds in India (AMFI), SIP contributions increased from about **₹43,921 crore in FY 2016–17** to around **₹2,89,352 crore in FY 2024–25**. This growth shows that more retail investors are participating in the market and that many middle-class households are slowly shifting toward equity-based investments.

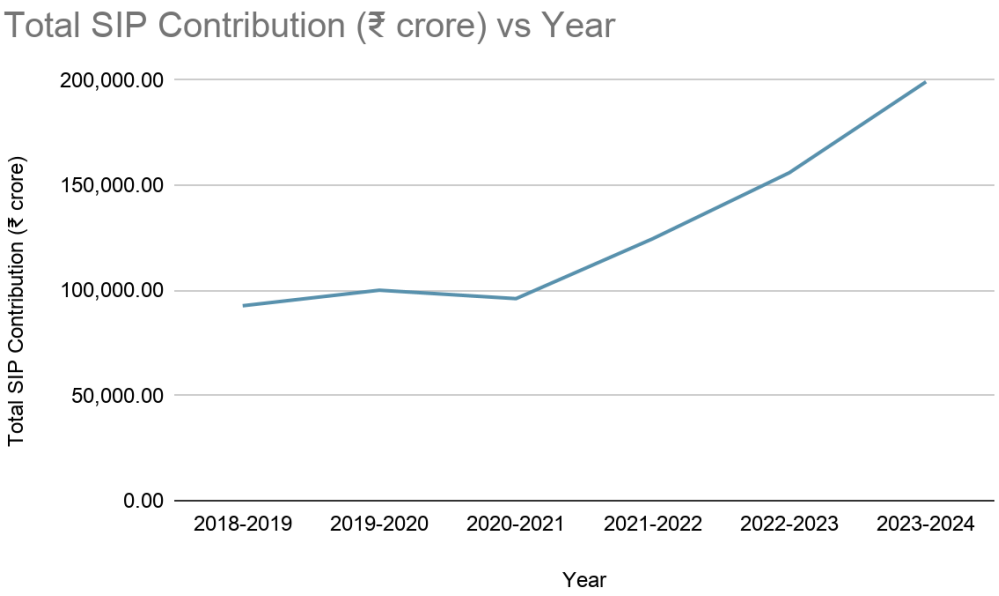


Figure 5. Total SIP contributions in India, 2018–19 to 2023–24 (₹ crore)

Source: AMFI

The graph shows the trend of total SIP contributions in India from 2018–19 to 2023–24. SIP investments increased gradually during this period, with a small dip around 2020–21. After that, contributions rose significantly, reaching close to ₹2,00,000 crore by 2023–24. This trend suggests that more households are investing through mutual funds and that middle-class investors are slowly shifting toward market-linked investments.

7.2 Reduced Savings

One noticeable financial change among households in recent years is the decline in the share of income that goes into savings. As the cost of essential goods and services increases, many households find it harder to maintain the same level of monthly savings. Expenses related to food, housing, education, healthcare, and transportation often take up a larger portion of income. Because these are necessary expenses, families cannot easily reduce them, which leaves less money available to save for future needs or emergencies.

National data in India shows a similar pattern. According to official statistics from the National Accounts, the household saving rate declined from about **23.6% of GDP in 2011–12** to around **18.4% in 2022–23**. Over this period, the savings ratio gradually decreased, although there were

small fluctuations in some years. For example, savings temporarily increased in **2020–21**, which was likely influenced by reduced spending during the COVID-19 pandemic when travel, entertainment, and other activities were limited. However, after this temporary rise, the overall trend continued to show a gradual decline in the share of income that households save.

This decline in savings suggests that many families may be experiencing increasing financial pressure. As living costs rise and inflation affects the prices of everyday goods and services, households may need to use a larger portion of their income just to cover regular expenses. Over time, this can make it more difficult for families to maintain consistent savings, which may affect their ability to build financial security and prepare for long-term goals.

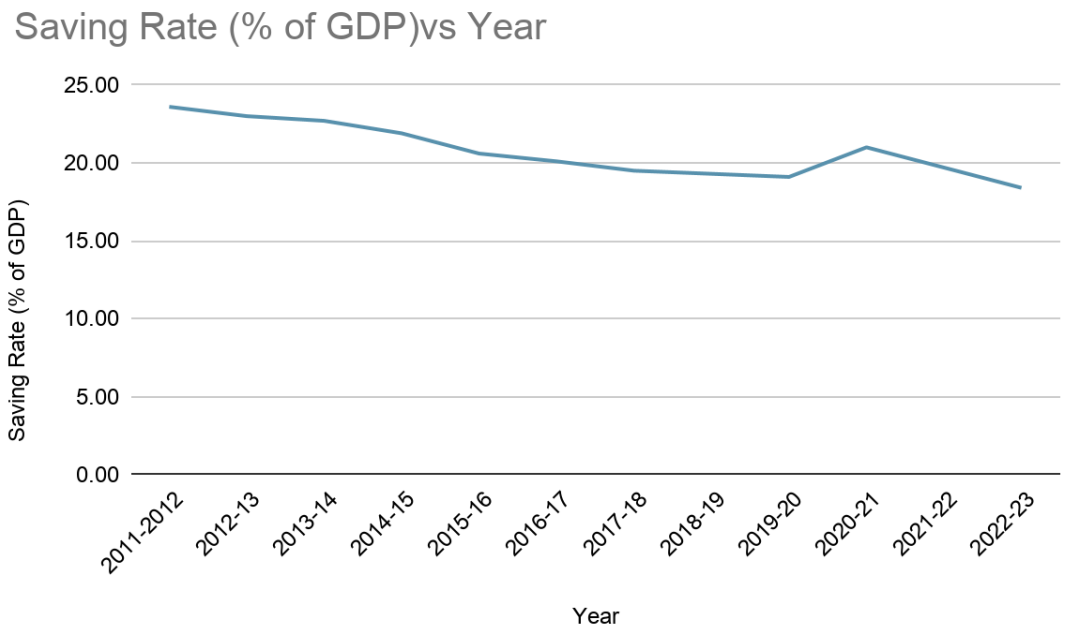


Figure 6. Household saving rate in India, 2011–12 to 2022–23 (% of GDP)

Source: National Institute of Bank Management

The graph shows the trend of the household saving rate in India from 2011–12 to 2022–23. The saving rate was higher in the earlier years at around 23–24%. Over time, it gradually declined, showing that households are saving a smaller share of their income. There was a temporary increase in 2020–21 during the pandemic when spending was reduced. After that, the saving rate declined again to about 18.4% in 2022–23.

7.3 Liquidation of Investments

In some situations, households may withdraw or sell their investments to meet immediate financial needs. When living costs increase or unexpected expenses arise, monthly income may not be enough to cover all expenses. In such cases, families may rely on their investments to manage short-term financial pressure. Assets such as mutual funds, fixed deposits, or other savings may be withdrawn to access money when needed.

This often happens during periods of economic uncertainty or rising inflation, when households face higher expenses. While withdrawing investments can help families manage short-term financial problems, it can also reduce the amount of money available for long-term savings. As a

result, frequent withdrawals may make it harder for households to build wealth and maintain financial stability over time.

7.4 Increase in Precautionary Savings

During periods of economic uncertainty, households may become more careful about how they manage their finances. In such situations, people often increase precautionary savings in order to prepare for unexpected expenses or possible income loss. This type of saving happens when households want to feel more financially secure during uncertain economic conditions.

Precautionary savings usually involve keeping a larger share of income in easily accessible funds such as bank deposits or savings accounts. Having this financial buffer allows households to handle unexpected events like job loss, medical emergencies, or sudden increases in living costs. This behaviour shows how families try to protect their financial stability when economic conditions become uncertain.

8. Lifestyle Adjustments and Psychological Impact

8.1 Reduced Eating Out

One common lifestyle change during periods of rising prices is a reduction in spending on eating out. Activities such as dining at restaurants, cafés, or ordering food online are usually considered non-essential expenses. When the cost of necessities like groceries, rent, fuel, and education increases, households often try to control their spending.

As a result, many families may start cooking at home more often instead of frequently eating outside. This helps them reduce monthly expenses and manage their budgets more carefully. For middle-class households, cutting down on discretionary spending can be an effective way to adjust to higher living costs.

This shift shows how households respond to inflation by prioritizing essential needs and reducing optional spending.

8.2 Delayed Major Purchases

Another common response to rising living costs is delaying major purchases. Large expenses such as buying electronics, home appliances, furniture, or other expensive items often require careful financial planning. When the prices of essential goods and services increase, households may prefer to postpone these purchases in order to manage their budgets more effectively.

Instead of making large financial commitments immediately, families may choose to wait until their financial situation feels more stable. This helps them avoid additional financial pressure during periods when everyday expenses are already rising.

Delaying major purchases reflects how households adjust their spending behavior during inflation. By postponing non-essential big expenses, families can focus on managing necessary costs and maintaining financial stability.

8.3 Postponed Vehicle Upgrades

Another lifestyle adjustment during periods of rising costs is postponing vehicle upgrades. Buying a new car or upgrading an existing vehicle usually requires a large financial commitment,

including down payments, monthly loan EMIs, insurance, maintenance, and fuel expenses. When the cost of living increases, households often become more cautious about making such large purchases.

Instead of upgrading to a newer vehicle, many families may decide to continue using their current car or two-wheeler for a longer period of time. This allows them to avoid additional financial pressure while managing other rising expenses such as food, housing, education, and fuel. In some cases, households may also delay vehicle upgrades because higher interest rates can increase the cost of auto loans.

Overall, postponing vehicle upgrades reflects how households adjust their financial decisions during periods of inflation. By delaying major purchases, families can focus on managing essential expenses and maintaining financial stability.

8.4 Delayed Marriage Decisions

Rising living costs can also influence important personal decisions, including the timing of marriage. Marriage often involves significant financial responsibilities such as wedding expenses, housing arrangements, and long-term financial planning. When the cost of living increases, individuals and families may feel the need to achieve greater financial stability before taking on these commitments.

As a result, some people may choose to delay marriage until they feel more financially secure. Higher expenses related to housing, education loans, or daily living costs can make individuals more cautious about making long-term life decisions. Families may also prefer to postpone wedding plans in order to better manage their finances.

This reflects how economic conditions can influence personal decisions. Many individuals prefer to wait until they feel financially secure before taking on the responsibilities associated with marriage.

8.5 Summary

The behavioural changes discussed in this section indicate that rising inflation can influence not only household spending but also broader lifestyle and personal decisions. As living costs increase, many households tend to reduce discretionary activities such as eating out and become more cautious about making large purchases. Decisions such as upgrading vehicles or planning major life events may also be postponed as families try to manage their budgets more carefully.

These adjustments reflect a shift towards more cautious financial behaviour during periods of economic pressure. At the same time, higher inflation can contribute to increased financial stress and uncertainty about future expenses. Together, these patterns show how economic conditions can affect everyday choices, encouraging households to prioritize financial stability and long-term security.

9. Comparative Household Budget Case Study (2018 vs 2024)

To illustrate the impact of inflation on middle-class households, a hypothetical household budget comparison is presented. The example represents a typical urban middle-class family with common monthly expenses such as housing, food, education, transportation, and savings. These

figures are not based on a specific household but are used as a simplified model to reflect general spending patterns and inflation trends observed over time.

Comparing a representative household budget from 2018 with an adjusted budget in 2024 helps show how rising prices affect the way income is distributed across different expenses. Over time, increases in the cost of essential goods and services such as rent, groceries, and education can lead to a larger share of income being spent on basic needs. As a result, households may find that a smaller portion of their income remains available for savings or discretionary spending.

This comparison helps provide a clearer picture of how inflation can gradually influence household financial decisions. Even when nominal income increases, rising living costs can place pressure on monthly budgets and make it harder for families to maintain the same level of savings and financial stability.

Table 1. Illustrative monthly budget of an urban middle-class household, 2018

Category	Monthly (₹)
Income	**60,000**
Rent	15,000
Food	8,000
School Fees	5,000
Transport	4,000
Other Essentials	8,000
Savings	20,000
Total Expenses	**40,000**

Table 2. Illustrative monthly budget of an urban middle-class household, 2024

Category	Monthly (₹)
Income	**85,000**
Rent	24,000
Food	14,000
School Fees	10,000
Transport	7,000
Other Essentials	15,000
Savings (after expenses)	15,000
Total Expenses	**70,000**

Note: The figures presented represent an illustrative urban middle-class household budget constructed using typical expense patterns and observed inflation trends.

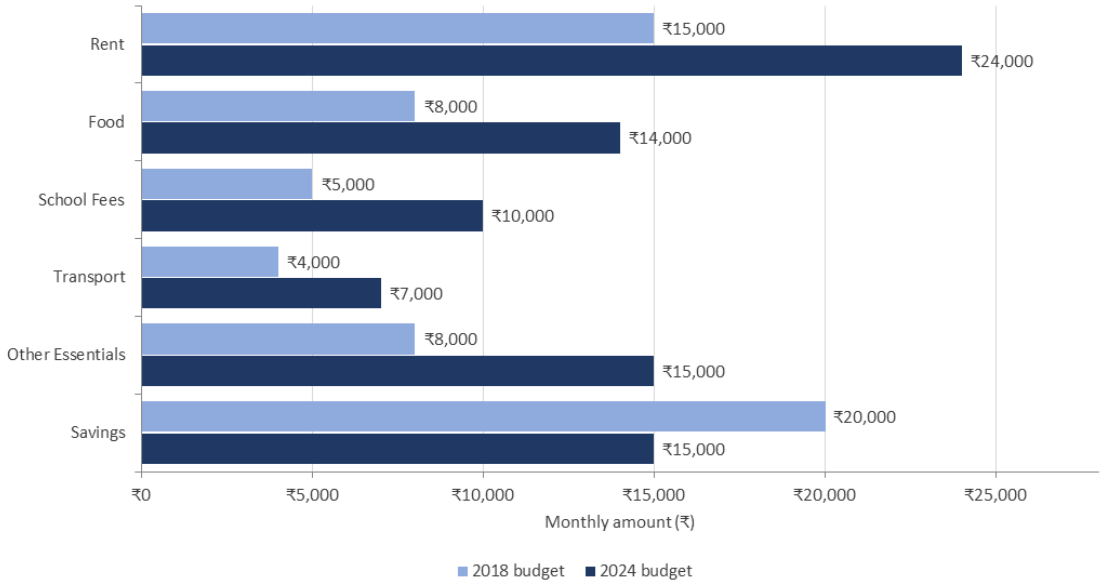


Figure 7. Monthly budget of the illustrative household, 2018 vs 2024

Source: Illustrative budget constructed for this study (see Tables 1 and 2).

The comparison between the 2018 and 2024 household budgets shows how rising living costs can affect the financial situation of middle-class families. In 2018, a larger share of income could be saved after covering basic expenses. However, by 2024, expenses such as rent, food, education, and transport increased significantly.

Even though household income may have increased over time, the growth in essential expenses reduces the amount of money left for savings. As a result, the savings of the household decline from around ₹20,000 in 2018 to about ₹15,000 in 2024.

This example shows how inflation can gradually reduce the financial flexibility of middle-class households. As essential costs rise, families may find it harder to maintain the same level of savings, even if their income increases.

10. Economic Model: Real vs Nominal Income Compression

The changes seen in the household budget comparison can be better understood through the concept of real income. Nominal income refers to the amount of money a person earns, such as their monthly salary. Real income, however, refers to the actual purchasing power of that salary after considering inflation. When the prices of goods and services rise faster than income, the real value of earnings decreases even if the nominal income increases.

This relationship can be represented using the following formula:

$$\text{Real Income} = \text{Nominal Income} \div (1 + \text{Inflation Rate})$$

In simple terms, higher inflation reduces the purchasing power of income. As inflation rises, households may find that their income does not stretch as far as it did before. This can create a chain of effects:

Inflation ↑ → Real Income ↓ → Savings Capacity ↓ → Discretionary Spending ↓ → Economic Mobility ↓

This helps explain why many middle-class households feel financial pressure even when their salaries increase. As the cost of essential expenses such as housing, food, education, and transportation rises, a larger share of income is spent on necessities. As a result, families may save less and reduce non-essential spending in order to manage their budgets more carefully.

Example

To better understand this concept, consider a simple example based on the household budget used earlier in this study. Suppose a household earned ₹60,000 per month in 2018. By 2024, their salary increased to ₹85,000 per month, which suggests a significant improvement in income.

However, when inflation is taken into account, the real value of that income is lower. Using the cumulative rise in consumer prices between 2018 and 2024 (about 37.6%, based on World Bank annual CPI inflation for 2019–2024), real income in 2018 prices can be estimated using the formula:

$$\text{Real Income} = \text{Nominal Income} \div (1 + \text{Cumulative Inflation})$$

$$\text{Real Income} \approx 85{,}000 \div 1.376 \approx ₹61{,}800$$

This means that although the household earns ₹85,000 in nominal terms, its purchasing power is closer to about ₹61,800 in 2018 prices. In other words, a salary increase of about 42% (from ₹60,000 to ₹85,000) becomes a real increase of only about 3% once inflation is taken into account. As a result, most of the increase in income is offset by rising prices of goods and services.

This example shows how inflation can reduce the real value of income. Even when salaries increase, households may still feel financial pressure because the cost of essential expenses rises at the same time.

11. Key Findings

The findings of this study show that inflation has had a noticeable impact on the financial situation of urban middle-class households. Although nominal incomes have increased over time, rising living costs have reduced the real purchasing power of these earnings. In other words, households may earn more money than before, but that income does not buy as much as it once did because the prices of goods and services have increased.

One important observation is that essential expenses such as food, housing, and education now take up a larger share of household income. These are necessary expenses that families cannot easily reduce. As the prices of these items rise, a greater portion of income is spent on basic needs, leaving less money available for savings or discretionary spending.

The study also shows that traditional savings options may not always keep up with inflation. Savings instruments such as fixed deposits often provide returns that are lower than the inflation rate, which means the real value of savings may gradually decline over time. Because of this, some middle-class households are beginning to explore investment options such as mutual funds, SIPs, and other market-linked investments in an attempt to protect their savings.

Changes in spending behaviour are also visible. Many households respond to rising prices by reducing non-essential spending. For example, families may eat out less frequently, delay major

purchases, or postpone upgrading vehicles and household items. These adjustments show how households try to manage their budgets more carefully when living costs increase.

Rising expenses can also create psychological pressure for many families. When a large portion of income is consistently spent on essential needs, households may experience financial stress and uncertainty about the future. Concerns about managing expenses, maintaining savings, and planning long-term goals can affect the overall sense of financial security.

The findings suggest that inflation affects several aspects of middle-class life, including income, savings behaviour, spending decisions, and financial confidence. As prices continue to rise, households are forced to adjust their financial choices in order to maintain stability and manage everyday expenses.

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